Academic Papers

The impact of downsizing on the corporate reputation for social performance

Stelios C. Zyglidopoulos
Received (in revised form): 14th September, 2003

Rochester Institute of Technology, College of Business, 108 Lomb Memorial Drive, Rochester, NY 14623, USA; tel: +1 585-475-6073; fax: +1 585-475-5989; e-mail: szyglidopoulos@yahoo.com

Stelios Zyglidopoulos *is a Fellow of the Center for International Business and Assistant Professor at the College of Business at RIT. Previously affiliated with the Faculty of Business Administration of Erasmus University in Rotterdam, the Netherlands, he graduated from the Faculty of Management of McGill University. His research interests include the study of intangible firm resources, particularly corporate reputation, and the early stages of organisational evolution.*

Abstract

This paper investigates the impact of downsizing on a firm's reputation for corporate social performance (RCSP). Drawing on the downsizing, corporate reputation and social responsibility literatures, a number of hypotheses concerning the impact of downsizing, and particularly the types of downsizing, on a firm's reputation for corporate social performance are developed and empirically tested. The main findings of this study are that, while downsizing seems to have a negative impact on the firm's RCSP, when one takes into account the kind of managerial action that led to downsizing (layoffs and/or divestitures), this impact differs between the two stakeholder groups, industry executives and financial analysts, which were investigated. This study also found that a high financial performance prior to downsizing led to a greater negative impact on the firm's RCSP.

KEYWORDS: corporate reputation, corporate social performance, downsizing, layoffs, divestitures.

INTRODUCTION

Downsizing is not only one of the most painful experiences in the life of corporations and their employees, but, according to many strategic management researchers, there is also no convincing evidence that it actually leads to superior organisational performance in the long term (Cascio *et al.* 1997; De Meuse *et al.* 1997). This controversy has led to much discussion concerning the relationship between downsizing and the notion of corporate social performance in the popular media (Sloan and Underwood 1996), but surprisingly little discussion in the academic literature (Van Buren 2000). This paper contributes to the investigation of this issue by empirically investigating the impact that downsizing has on the firm's reputation for corporate social performance (RCSP).

Understanding the potential impact of downsizing on the firm's RCSP is very important for the following two reasons. First, since the corporate reputation of a firm can be a significant source of sustainable competitive advantage (Fombrun 1996; Hall 1992, 1993; McMillan and Maheshkumar

Journal of Public Affairs
Vol. 4 No. 1, 2004, pp. 11–25
© Henry Stewart Publications,
ISSN 1479-1854

1997; Roberts and Dowling 1997), a better understanding of the impact of such a controversial measure as downsizing on the firm's RCSP (and therefore on the firm's overall reputation) can only assist managers in protecting the firm's reputation. Secondly, a better understanding of the potential impact of downsizing on the firm's reputation — through its impact on the firm's RCSP — can assist managers and public administrators to better determine the effectiveness of downsizing. Because, even if downsizing has under certain conditions positive, short-term effects on the profitability and/or competitiveness of firms — a position for which significant doubts exist in the literature — these gains could be easily offset by more longer-term negative effects on the firm's reputation.

There are two major reasons why downsizing decisions should be expected to have an impact on a firm's RCSP. First, according to Van Buren (2000), there are implicit social and psychological contracts that relate to the ethical obligations of managers towards their employees. Since the social responsibility of the firm — an integral part of a firm's social performance (Wood 1991) — encompasses the society's ethical expectations on the firm (Carroll 1979), it is reasonable to expect that downsizing decisions will have a negative impact on a firm's RCSP. Secondly, even if it has been argued that downsizing practices have been granted a legitimate business practice status (Lamertz and Baum 1998), this has been the result of a schema packing process which initially had an ethical dimension to it (McKinley *et al.* 2000). In addition, this initial ethical dimension of downsizing will most likely have left an imprint on that part of the firm's reputation which refers to its social performance.

Building on these two lines of reasoning, and drawing on the relevant literature on downsizing, corporate social performance and corporate reputation, this paper elaborates on the relationship between downsizing and reputation for corporate social performance by developing a number of hypotheses, which are tested with the use of data drawn from *Fortune*'s America's Most Admired Corporations (AMAC) survey, and from the Wall Street Journal Index. More specifically, the remainder of the paper proceeds as follows. First, the major concepts of the paper, downsizing and RCSP are discussed. Secondly, drawing on the relevant literature, a number of hypotheses concerning the potential impact of downsizing on the firm's RCSP are developed. Thirdly, the methodology of the study is described, followed by a presentation of its main findings. The paper concludes with a discussion of its contributions, implications and limitations.

MAJOR CONCEPTS

In this section, the main constructs of the paper — downsizing and RCSP — are presented and discussed. The purpose of the following section is to facilitate the development of testable hypotheses concerning the impact of downsizing on the firm's RCSP.

Reputation for corporate social performance

The notion of RCSP can be seen as a dimension of the firm's overall reputation, defined by Fombrun (1997: 37) as 'the overall estimation in which a particular company is held by its various constituents', a definition, which allows for a number of different aspects or dimensions of corporate reputation (Zyglidopoulos and Phillips 1999; Zyglidopoulos 2001). In this paper, the focus is on the estimation of the firm's constituents, with respect to the firm's social performance, defined by Wood (1991) as:

> 'A business organization's configuration of principles of social responsibility, processes of social responsiveness, and politics, programs, and observable outcomes as they relate to the firm's societal relationships' (Wood 1991: 691).

In short, the term 'reputation for corporate social performance' (RCSP) refers to the

14791854, 2004, 1, Downloaded from https://onlinelibrary.wiley.com/doi/10.1002/pa.168 by Iowa State University Library, Wiley Online Library on [18/01/2025]. See the Terms and Conditions (https://onlinelibrary.wiley.com/terms-and-conditions) on Wiley Online Library for rules of use; OA articles are governed by the applicable Creative Commons License

1479-1854, 2004, 1, Downloaded from https://onlinelibrary.wiley.com/doi/10.1002/pa.168 by Iowa State University Library, Wiley Online Library on [18/01/2025]. See the Terms and Conditions (https://onlinelibrary.wiley.com/terms-and-conditions) on Wiley Online Library for rules of use; OA articles are governed by the applicable Creative Commons License

firm's reputation for principles, processes and outcomes related to the social impact of the firm's operations.

As a firm resource, the RCSP is potentially significant for two reasons. First, within the business and society field, RCSP has been seen as a mediating variable between corporate social performance (CSP) and corporate financial performance (CFP). In other words, the implicit (if not explicit) position of the field is that CSP has an impact on the firm's profitability through its influence on the firm's reputation. Support for this position has been recently provided by Orlitzky *et al.* (2003: 403), who performed a meta-analysis of 52 studies (yielding a total sample size of 33,878 observations), and found not only that CSP appears to be highly correlated with CFP, but also that the reputational indices of CSP 'are more highly correlated with corporate financial performance (CFP) than are other indicators of CSP'.

Secondly, viewing matters from the corporate reputation literature, the firm's RCSP is part of the overall reputation of a firm, which, according to most resource-based view theorists, is one of the most important intangible resources of a business firm, because it can be a major source of competitive advantage (Barney 1991; Dierickx and Cool 1989; Fombrun 1996; Hall 1992, 1993; McMillan and Maheshkumar 1997; Roberts and Dowling 1997). Despite the potential contribution that a firm's RCSP can have on the overall reputation of the firm, there is evidence that a firm's RCSP can directly influence a firm's competitive position, by signalling to prospective employees the attractiveness of the firm as an employer (Turban *et al.* 1997; Greening and Turban 2000) and therefore influencing the firm's ability to attract and retain talented personnel, a significant factor for a firm's competitive position.

Thus, understanding the potential impact of downsizing activities on the firm's RCSP contributes to our understanding of the factors that influence a valuable firm resource within two different literature streams — business and society, and corporate reputation.

Downsizing

According to Cameron (1996: 1050), the term 'downsizing' is used in the literature 'to encompass a whole range of activities from personnel layoffs and hiring freezes to consolidations and mergers of organizational units'. In this paper, following Cascio *et al.* (1997), downsizing refers to significant and intentional reductions in personnel. In other words, not just any reduction in personnel can be considered as downsizing, as it is quite possible that reductions in personnel could have been the result of employees leaving the firm, for whatever reason, on their own accord, without this fact indicating any intention on the part of the firm's management (McKinley *et al.* 2000).

Regarding the extent of downsizing, although there are no clear guidelines as to what is the critical point where an intentional reduction in personnel would be referred to as 'downsizing', in practice, Cascio *et al.* (1997) use the term to refer solely to reductions in employment greater than or equal to 5 per cent of the firm's workforce. This way, by focusing only on significant reductions in personnel, it is also easier for researchers to avoid the classification of the potential involuntary erosion of a firm's resource base as downsizing (McKinley *et al.* 2000; Freeman and Cameron 1993), as personnel reductions of that magnitude (greater than or equal to 5 per cent) are most likely to be intentional.

But the type of action that leads to a reduction in personnel, categorised as 'downsizing', is also important for the purposes of this paper, as reductions in employment can result from two kinds of managerial actions — layoffs (Burton *et al.* 1996; Worrell *et al.* 1991) and divestiture of organisational divisions (Hoskisson and Hitt 1994; Hoskisson *et al.* 1994). This distinction is important, because it will be argued in the following section that these two types of downsizing

activities, layoffs and divestitures, are expected to have differing impacts on a firm's RCSP.

HYPOTHESES DEVELOPMENT

There are two reasons why downsizing, and especially downsizing through layoffs, should have a negative impact on the firm's RCSP. First, there are implicit psychological and social contracts between managers and their employees (Van Buren 2000) which might depict downsizing through layoffs as unethical, even if no law is broken. Secondly, the negative impact that downsizing through extensive layoffs usually has on the lives of employees and the communities surrounding the firm can only have a negative impact on the firm's RCSP, which rests with the firm's stakeholders, after all. This is especially the case since downsizing as a result of this negative impact on communities has been given a rather negative spin by the popular media (Sloan and Underwood 1996; The New York Times Special Report 1996).

Van Buren (2000) argues that, despite the fact that downsizing — through layoffs — is a legal practice within the US labour market, it has the potential of being unethical when its practice violates implicit psychological and social contracts between employees and their organisation — as represented by its managers. Psychological contracts are 'individual beliefs, shaped by the organization, regarding terms of an exchange agreement between individuals and their organization' (Rousseau 1995: 9; cited in Van Buren 2000), whereas social contracts define the 'normative ground rules' through which societies influence the fairness of implicit contractual agreements between individuals and corporations (Donaldson and Dunfee 1994). The criterion for whether a particular managerial practice violates implicit social and/or psychological contracts is, according to Van Buren (2000: 208), the 'reasonable third party' one, which has been extensively 'used in the legal context to determine liability and to assign damages'.

It seems that in many cases of downsizing through layoffs, a 'reasonable third party' would also be expected to perceive such a violation, because of the extent to which the 'rules of the game' seem to differ for top managers *vis-à-vis* all other employees. Of course, one might say that economic downturns make downsizings through layoffs inevitable, and this is true. But a reasonable outsider might also notice that top US managers not only get paid a multiple over their lowest ranking employees that is significantly higher than their colleagues in Europe and Japan, but also do not have to suffer any greater level of risk for this increased rate of return. This is especially the case as the risk for economic downturns is regularly absorbed by worker layoffs and rehirings (Cappelli *et al.* 1997), a phenomenon that has been compared with 'a ''revolving door'', in which corporations routinely displace and hire large segments of their workforces in a permanent restructuring process' (*The Economist* 1996; Naik 1998; cited in McKinley *et al.* 2000). Furthermore, this unfairness, which a reasonable outsider might perceive, is only accentuated when profitable firms engage in downsizing, despite the fact that no profitability crisis is looming over the corporation. In short, one might reasonably argue that in many cases of downsizing through layoffs, implicit psychological and social contracts between employees and their organisation are being violated, especially when the corporation is profitable.

Another reason why downsizing through layoffs might have a negative impact on the firm's RCSP is the negative social impact that such activities have on different communities, along with the negative media attention that such developments have attracted in the popular media. According to Uchitelle and Kleinfield (1996), 43 million jobs were lost in the USA in the period from 1979 to 1996 (cited in McKinley *et al.* 2000). Even though most of the laid-off workers eventually found jobs again, the displacement,

14791854, 2004, 1, Downloaded from https://onlinelibrary.wiley.com/doi/10.1002/pa.168 by Iowa State University Library, Wiley Online Library on [18/01/2025]. See the Terms and Conditions (https://onlinelibrary.wiley.com/terms-and-conditions) on Wiley Online Library for rules of use; OA articles are governed by the applicable Creative Commons License

1479-1854, 2004, 1, Downloaded from https://onlinelibrary.wiley.com/doi/10.1002/pa.168 by Iowa State University Library, Wiley Online Library on [18/01/2025]. See the Terms and Conditions (https://onlinelibrary.wiley.com/terms-and-conditions) on Wiley Online Library for rules of use; OA articles are governed by the applicable Creative Commons License

uncertainty, hardship and grievance associated with the loss of a job has attracted a great deal of negative attention in the popular media (Sloan and Underwood 1996; The New York Times Special Report 1996). In one case, *Newsweek*, in an article entitled 'The Hit Men', (Sloan and Underwood 1996), made the connection between the number of workers laid off by a Chief Executive Officer (CEO) and the CEO's compensation as his/her stock options appreciated in the stock market. Given that the impact of the media on the reputation of a firm has been well established in the literature,[1] it is reasonable to expect that a firm's RCSP is negatively influenced by such negative media attention concerning the social implications of the firm's actions.

From the discussion above, hypotheses 1 and 2 follow:

H1: Downsizing events (and especially downsizing through layoffs) will have a negative impact on the firm's RCSP.

H2: Firm profitability will intensify the negative impact that downsizing through layoffs will have on the firm's RCSP.

The reputation of a firm (and in this case its RCSP), however, is not a homogeneous construct and might differ between stakeholder groups, a notion referred to as stakeholder specificity (Zyglidopoulos and Phillips 1999; Zyglidopoulos 2001); this might also be true for the reactions of different stakeholder groups to particular actions of a firm. In other words, it is possible for a firm's downsizing to have a negative impact on the firm's RCSP with industry employees, while it has a neutral (or even a positive) impact on the firm's RCSP with the industry's managers or investor community.

In particular, Lamertz and Baum (1998) found that the practice of downsizing (through layoffs) has been legitimised within the management community, at least in the Canadian context, where the study took place. Moreover, McKinley *et al.* 2000) argued that this has been the result of a schema packing process, which initially had an ethical dimension to it. They argue that the schema 'downsizing is effective' eventually became institutionalised within the managerial community — despite the fact that academic research into the matter has not proven this to be the case — and that the issue of whether downsizing is, or is not, ethical was eventually abandoned. Therefore, it would be reasonable, if the Lemertz and Baum (1998) findings and the McKinley *et al.* (2000) argument holds true, for the managerial community not to perceive downsizing through layoffs as something harming the firm's RCSP, a claim that one cannot make, for the reasons discussed above, regarding other stakeholder groups such as employees, the general public or even consumers.

But, given that there is not enough evidence in the literature to more accurately predict the reactions of different stakeholder groups to a firm's downsizing through layoffs, this discussion can be summed up in the following, rather general, third hypothesis:

H3: Downsizing through layoffs will have a different impact on the firm's RCSP with various stakeholder groups.

But, while downsizing through layoffs is generally expected to have a negative impact on the firm's RCSP, this is not the case for downsizing through divestitures. In other words, there are at least two reasons to believe that downsizing through divestitures will not have a negative impact (and will most probably have no impact) on the firm's RCSP. First, in downsizing through divestitures, the ethical responsibility of managers (which we argued above can be found in implicit psychological and social contracts) is transferred to the new owners (or managers). As a result, the firm's RCSP is only indirectly implicated in any potential layoffs by the new management. Secondly, unlike downsizing

through layoffs, the divesting of business units never had an ethical dimension to it. On the contrary, it was always seen as part of the corporate strategy prerogative of the firm managers. Even when criticised by the management and academic press as an admission of failure, divestitures were seen as being part of the corporation's strategic realignment. Hypothesis 4 follows:

H4: Downsizing through divestiture (the sale of a particular division) will not have a negative impact on the firm's RCSP.

METHODOLOGY

Data sources and data collection

To test the above hypotheses, data from two sources were used. In measuring the type of downsizing that a firm was involved in during a particular period, data originated from the Wall Street Journal Index, which is published yearly by the *Wall Street Journal* and consists of summaries of all the news coverage related to a particular company for a given year. In measuring the RCSP of a firm, employee count and financial performance data from *Fortune*'s AMAC survey were used. The AMAC survey has been conducted yearly since 1983 by *Fortune* magazine, and rates the reputation of the five to ten largest companies in each of the 46 industries from the *Fortune* 1,000 list of the year prior to the survey. The reputation of each company is rated according to eight key attributes: (1) quality of management, (2) quality of products or services, (3) innovativeness, (4) ability to attract, develop and keep talented people, (5) long-term investment value, (6) financial soundness, (7) use of corporate assets and (8) community and environmental responsibility. These ratings use an 11-point scale (0 = poor, 10 = excellent).

In this paper, the scores on 'community and environmental responsibility' are used as indicators of a firm's RCSP. The sample of respondents consists of executives and outside directors of the *Fortune* 1000 companies and investment analysts who cover these firms. Taking advantage of the fact that the survey draws on two different constituents, the scores of executives and investment analysts are used separately as indicators of a firm's RCSP with two different stakeholder groups — the firm's competitors within a given industry and the financial community. Over its life time, the survey has had a response rate of about 50 per cent, and while the number of questionnaires mailed has differed from year to year, it has always been up at about the 8,000 mark. Questionnaires were mailed in the early autumn and were followed up by two subsequent mailings, phone calls and faxes. The AMAC survey has been criticised for its financial halo (Brown and Perry 1995; Fryxel and Wang 1994), and its usefulness has been questioned; however, further research has shown that if one controls for financial performance, the AMAC survey is an adequate indicator of a firm's RCSP (Carter and Dukerich 1998; Szwajkowski and Figlewicz 1997, 1999).

Definition and measurement of variables

In investigating the above hypotheses, three kinds of variables were used — independent, dependent and control variables. Independent variables consisted of variables measuring the downsizing activities of the various firms; dependent variables captured the yearly changes in the firms' RCSP; and control variables were used for factors that might influence the outcome of the statistical analyses (such as prior levels of corporate reputation, firm size and firm financial performance). Companies that appeared in the 1988 and 1991 AMAC surveys where selected for this study, providing 537 data points for statistical analysis. Also, the Kolmogorov–Smirnov test with Lilliefors significance correction was performed in all of the above variables and none was found to deviate significantly from normality.

14791854, 2004, 1, Downloaded from https://onlinelibrary.wiley.com/doi/10.1002/pa.168 by Iowa State University Library, Wiley Online Library on [18/01/2025]. See the Terms and Conditions (https://onlinelibrary.wiley.com/terms-and-conditions) on Wiley Online Library for rules of use; OA articles are governed by the applicable Creative Commons License

1479-1854, 2004, 1, Downloaded from https://onlinelibrary.wiley.com/doi/10.1002/pa.168 by Iowa State University Library, Wiley Online Library on [18/01/2025]. See the Terms and Conditions (https://onlinelibrary.wiley.com/terms-and-conditions) on Wiley Online Library for rules of use; OA articles are governed by the applicable Creative Commons License

Independent variables

Following Cascio *et al.* (1997), downsizing was operationalised through an indicator variable as a reduction in the yearly employee count greater than or equal to 5 per cent (DOWN). From the 537 data points referring to company-years, 151 instances of downsizing were identified. In addition, the type of downsizing was operationalised in such a way as to account for the way (through layoffs or divestitures) it was performed. More specifically, three indicator variables were used to operationalise the four possible states: a firm downsizing through layoffs (DOWN-l), through divestitures (DOWN-d) and both through divestitures and layoffs (DOWN-dl). The fourth possible state referred to a firm that did not downsize in any way during the given year. In order to identify which of the 151 instances of downsizing were due to layoffs, divestitures or both, a graduate student, specially trained and under the direct supervision of the author, went through the Wall Street Journal Index for the relevant years and classified the downsizing instances accordingly. The result was that from the 151 instances of downsizing, 17 were classified as layoffs (DOWN-l), 51 were classified as divestitures (DOWN-d) and 25 were classified as both layoffs and divestitures (DOWN-dl). For 58 downsizing instances no information was found, and these instances, erring on the side of caution, were excluded from the regression models dealing with the types of downsizing and the firm's RCSP.

Dependent variables

A firm's RCSP was measured through the yearly differences in the AMAC index of the firm's reputation for 'community and environmental responsibility' (DCR), a practice that is well accepted in the business and society field (Wood 1995; Szwajkowski and Figlewicz 1999; Zyglidopoulos 2001). Because two populations (industry executives and financial analysts) are surveyed every year, however, two further measurements of this variable were possible: one for the yearly changes in RCSP as rated by the industry executives (DCR-e), and one for the yearly changes in RCSP as rated by the financial analysts of the industry (DCR-a). DCR-e was used as an indicator for the firm's RCSP among its competitors within its industry and DCR-a was used as an indicator of the firm's RCSP within the financial community. In other words, the two measures were used as indicators of the firm's RCSP with two different stakeholder groups.

Control variables

First, financial performance had to be controlled for because it had been found to correlate significantly with corporate reputation (Brown and Perry 1995; McGuire *et al.* 1990). A return on assets (ROA) ratio was used for these purposes because not only was it easily available through the AMAC database, but it also exhibited 'stability and comparability across firms', according to Kim *et al.* (1989). But because the dependent variables were yearly changes of scores for the firm's RCSP, it was considered more appropriate to control for changes in ROA (DROA) from the year prior to the downsizing event. In addition, in about half of the regression models, it was necessary to control for the ROA for the year before the downsizing event took place. This was deemed necessary because hypothesis 2 predicts a negative interaction effect between the firm's financial performance and downsizing through layoffs. Furthermore, the firm's financial performance prior to the downsizing events would most likely be involved in such an interaction.

Secondly, prior levels of RCSP — the previous year in this case – were controlled for because prior levels of corporate reputation (CR) could possibly have had an impact on the way in which firm stakeholders reacted to specific events (Fiol and Kovoor-Misra 1997). Since the dependent variables

refer to first differences, by controlling for prior levels of RCSP, it was also necessary to control for regression towards the mean effects. Thirdly, firm size was also controlled for because it is reasonable to expect that larger firms receive more media attention, which could have an impact on reputational ratings. Firm size was measured using the natural log of the total number of firm employees (LNEMPL), a well-established operationalisation of firm size in the field.

Statistical analysis

Multivariate regression was considered to be an appropriate method for this study, because, despite the fact that some firms appeared in two points in time, there was no pattern in the data-collecting process and therefore autocorrelation and heteroscedasticity problems were quite unlikely; and, indeed, none were found. Overall, 12 regression models were used, six models dealing with the impact of downsizing — as a greater than or equal to 5 per cent reduction in the firm's number of employees — on the firm's RCSP, and six models dealing with the impact of the type of downsizing on the firm's RCSP. In addition, for all of the regressions, normality tests for the residuals were conducted and it was found that the residuals of all the models did not deviate from normality or exhibit any kind of pattern.

FINDINGS

Table 1 depicts the descriptive statistics and Pearson correlations of all the variables used in this study. As some of the independent variables exhibited significant correlations, tests for multicolinearity were performed with all the regressions, but the variance inflation factors (VIF) were found to be within acceptable limits.

Hypothesis 1 predicts that downsizing, and especially downsizing through layoffs, will have a negative impact on the firm's RCSP. As can be seen from Table 2, support for this hypothesis was found while investigating the impact of downsizing (as a reduction in personnel greater than or equal to 5 per cent) on changes in collective reputational scores (model 1; $p < 0.001$), executive reputational scores (model 3; $p < 0.001$) and investment analysts' reputational scores (model 5; $p < 0.05$). Additionally, support for the more specific part of hypothesis 1, which predicts that downsizing through layoffs will have a particularly negative impact on the firm's RCSP, was also found for the models investigating the changes in the collective (model 7; $p < 0.01$) and executive (model 9; $p < 0.05$) reputational scores (see Table 3). In model 11, however, which investigated the impact of the type of downsizing on the changes in the reputational scores of investment analysts, the coefficient of the relevant variable (DOWN-l) did not reach a level of significance, even though it was negative, as predicted by hypothesis 1.

Hypothesis 2 predicts that a negative interaction effect between downsizing through layoffs and prior financial performance of the corporation will exist, and partial support for this hypothesis was found. Specifically, support for this hypothesis was found in model 8 ($p < 0.05$) for changes in collective scores for RCSP and marginally for model 9 ($p < 0.10$) for changes in scores for RCSP of executives. But in model 12, dealing with the changes in scores for RCSP for investment analysts, the coefficient of the relevant variable did not reach a level of significance, even though it was negative, as predicted (see Table 3).

Hypothesis 3, applied to the two specific constituents of our study, executives and analysts, predicts that the impact of downsizing through layoffs on the changes in the scores for RCSP will differ between industry executives and investment analysts. Support for this hypothesis can be seen by comparing the relevant coefficients of model 9 with those of model 11, and the coefficients of model 10 with those of model 12. In particular, by comparing model 9 (industry execu-

14791854, 2004, 1, Downloaded from https://onlinelibrary.wiley.com/doi/10.1002/pa.168 by Iowa State University Library, Wiley Online Library on [18/01/2025]. See the Terms and Conditions (https://onlinelibrary.wiley.com/terms-and-conditions) on Wiley Online Library for rules of use; OA articles are governed by the applicable Creative Commons License

Table 1: Descriptive statistics and Pearson correlations

	Variable	*Mean*	*Std*	*1*	*2*	*3*	*4*	*5*	*6*	*7*	*8*	*9*	*10*	*11*
1	DCR	0.00371	0.362	1										
2	DCR-e	0.02121	0.419	0.875**	1									
3	DCR-a	−0.0743	0.593	0.549**	0.197**	1								
4	CR	6.3088	0.960	−0.042	−0.076	0.065	1							
5	ROA	0.04755	0.070	0.098*	0.052	0.125**	0.478**	1						
6	DROA	−0.00734	0.067	0.031	0.002	0.034	0.017	−0.392**	1					
7	LNEMPL	10.282	1.144	0.053	0.117**	0.038	0.134**	−0.050	−0.003	1				
8	DOWN	0.28	0.450	−0.165**	−0.143**	−0.114**	−0.293**	−0.228**	−0.057	−0.020	1			
9	DOWN-l	0.03564	0.185	−0.088	−0.058	−0.065	−0.084	−0.218**	0.034	−0.063	0.391**	1		
10	DOWN-d	0.1069	0.309	−0.090*	−0.115*	0.010	−0.208**	−0.169**	−0.030	0.003	0.703**	−0.067	1	
11	DOWN-dl	0.05241	0.223	−0.105*	−0.059	−0.102*	−0.137**	−0.088	−0.037	0.169**	0.478**	−0.045	−0.081	1

Notes: DCR = yearly differences in *Fortune*'s America's Most Admired Corporations (AMAC) survey index of the firm's reputation for 'community and environmental responsibility'; DCR-e = yearly changes in reputation for corporate social performance (RCSP) as rated by the industry executives; DCR-a = yearly changes in RCSP as rated by the financial analysts; CR = corporate reputation; ROA = return on assets; DROA = changes in ROA; LNEMPL = natural log of the total number of firm employees; DOWN = reduction in the yearly employee count greater than or equal to 5 per cent; DOWN-l = reduction in the yearly employee count by downsizing through layoffs; DOWN-d = reduction in the yearly employee count by downsizing through divestiture; DOWN-dl = reduction in the yearly employee count by downsizing through both layoffs and divestiture.

* $p < 0.05$, two-tailed; ** $p < 0.01$, two-tailed.

14793854, 2004, 1, Downloaded from https://onlinelibrary.wiley.com/doi/10.1002/pa.168 by Iowa State University Library, Wiley Online Library on [18/01/2023]. See the Terms and Conditions (https://onlinelibrary.wiley.com/terms-and-conditions) on Wiley Online Library for rules of use; OA articles are governed by the applicable Creative Commons License

Table 2: Regression analyses on the impact of downsizing on the reputation for corporate social performance

	Changes in collective scores		*Changes in industry executive scores*		*Changes in investment analyst scores*	
Variable	*Model 1* *Std coefficient* *(t)*	*Model 2* *Std coefficient* *(t)*	*Model 3* *Std coefficient* *(t)*	*Model 4* *Std coefficient* *(t)*	*Model 5* *Std coefficient* *(t)*	*Model 6* *Std coefficient* *(t)*
CR	−0.131**	−0.235***	−0.160***	−0.241***	0.011	−0.069
	(−2.87)	(−4.518)	(−3.556)	(−4.642)	(0.237)	(−1.303)
DROA	0.023	0.114	−0.05	0.065	0.029	0.099*
	(0.527)	(2.34)	(−0.120)	(1.349)	(0.650)	(1.992)
LNEMPL	0.059	0.082	0.134**	0.151**	0.022	0.040
	(1.359)	(1.88)	(3.090)	(3.489)	(0.504)	(0.895)
DOWN	−0.184***	−0.151**	−0.181***	−0.156**	−0.099*	−0.075
	(−4.081)	(−3.357)	(−4.035)	(−3.448)	(−2.167)	(−1.615)
ROA		0.222***		0.173**		0.172**
		(3.943)		(3.058)		(2.970)
F	5.377***	7.534***	7.490***	7.960***	1.594	3.059*
Adjusted R^2	0.033	0.059	0.0478	0.063	0.005	0.020

Notes: CR = corporate reputation; ROA = return on assets; DROA = changes in ROA; LNEMPL = natural log of the total number of firm employees; DOWN = reduction in the yearly employee count greater than or equal to 5 per cent.

* $p < 0.05$, ** $p < 0.01$, *** $p < 0.001$

Terms and Conditions (https://onlinelibrary.wiley.com/terms-and-conditions) on Wiley Online Library for rules of use; OA articles are governed by the applicable Creative Commons License

Table 3: Regression analyses on the impact of the type of downsizing on the reputation for corporate social performance

	Changes in collective scores		*Changes in industry executive scores*		*Changes in investment analyst scores*	
Variables	*Model 7* *Std coefficient* *(t)*	*Model 8* *Std coefficient* *(t)*	*Model 9* *Std coefficient* *(t)*	*Model 10* *Std coefficient* *(t)*	*Model 11* *Std coefficient* *(t)*	*Model 12* *Std coefficient* *(t)*
CR	−1.34**	−0.231***	−0.169***	−0.236***	0.015	−0.069
	(−2.799)	(−4.119)	(−3.562)	(−4.221)	(0.308)	(−1.199)
DROA	0.028	0.081	0.000	0.031	0.027	0.074
	(0.620)	(1.535)	(−0.002)	(0.595)	(0.585)	(1.361)
LNEMPL	0.042	0.060	0.123**	0.135**	0.015	0.019
	(0.892)	(1.295)	(2.641)	(2.905)	(0.063)	(0.401)
DOWN-l	−0.127**	−0.094*	−0.095*	−0.072	−0.069	−0.040
	(−2.755)	(−1.997)	(−2.063)	(−1.532)	(−1.472)	(−0.842)
DOWNn-d	−0.132**	−0.103*	−0.171***	−0.149**	0.000	0.024
	(−2.799)	(−2.177)	(−3.645)	(−3.1250)	(−0.003)	(0.493)
DOWN-dl	−0.161**	−0.149**	−0.135**	−0.126**	−0.103*	−0.092+
	(−3.411)	(−3.182)	(−2.871)	(−2.678)	(−2.131)	(−1.927)
ROA		0.251***		0.184**		0.216**
		(3.638)		(2.659)		(3.051)
Interaction			−0.113*		−0.100+	−0.095
ROA × Down-l			(−1.963)		(−1.723)	(−1.613)
F	4.307***	4.983***	5.189***	4.866***	1.258	2.131*
Adjusted R^2	0.054	0.065	0.052	0.063	0.003	0.019

Notes: CR = corporate reputation; ROA = return on assets; DROA = changes in ROA; LNEMPL = natural log of the total number of firm employees; DOWN-l = reduction in the yearly employee count by downsizing through layoffs; DOWN-d = reduction in the yearly employee count by downsizing through divestiture; DOWN-dl = reduction in the yearly employee count by downsizing through both layoffs and divestiture.

+ $p < 0.10$, * $p < 0.05$, ** $p < 0.01$, *** $p < 0.001$

14793854, 2004, 1, Downloaded from https://onlinelibrary.wiley.com/doi/10.1002/pa.168 by Iowa State University, Library, Wiley Online Library on [18/01/2023]. See the Terms and Conditions (https://onlinelibrary.wiley.com/terms-and-conditions) on Wiley Online Library for rules of use; OA articles are governed by the applicable Creative Commons License

tives) with model 11 (investment analysts), we can see that, while industry executives reacted negatively in a statistically significant way to downsizing events through layoffs ($p < 0.05$), through divestitures ($p < 0.001$) and through both layoffs and divestitures ($p < 0.01$), the reactions of investment analysts did not reach a statistically significant level concerning layoffs and divestitures. Analysts even reacted in a positive way in the case of divestitures, and although they did react negatively when faced with companies engaged in both layoffs and divestitures, this was statistically at a lower marginal level of significance ($p < 0.10$) than was the case for the industry executives. In other words, our findings support hypothesis 3, that different stakeholder groups would re-evaluate their notion of a firm's RCSP in different ways when faced with the same downsizing events.

Finally, hypothesis 4 predicted that downsizing through divestitures would not have a negative impact on the firm's RCSP. Findings in models 7, 8, 9 and 10, however, did not support this hypothesis, as the coefficients for downsizing through divestiture were constantly negative in all of these models, dealing with the changes in collective and executive scores of RCSP, with all of the coefficients reaching levels of statistical significance (see Table 3). Partial support for this hypothesis, however, was found in models 11 and 12, which dealt with the changes in the scores of RCSP of investment analysts, as the relevant coefficients were not only positive, but statistically not significant, as predicted by hypothesis 4. Therefore, one can say, at best, that partial support for this hypothesis was found, or that the findings are inconclusive, with hypothesis 4 applying to the behaviour of the investment community, but not the behaviour of the industry executives.

DISCUSSION

The findings from this study contribute to at least two literature streams, one dealing with the firm's RCSP (Brown and Perry 1995; Wood 1995; Zyglidopoulos 2001), and one dealing with the issue of downsizing and its impacts on the firm's competitiveness and public image (Cascio *et al.* 1997; McKinley *et al.* 2000).

Within the first literature stream, the findings of this study that downsizing events have a negative impact on the firm's RCSP indicate that despite the legitimation of downsizing as a managerial practice (Lamertz and Baum 1998), there might still be implicit psychological and social contracts related to the ethical responsibilities of managers towards their employees (Van Buren 2000) which downsizing decisions violate, thus having a negative impact on the firm's RCSP. In addition, the findings of this study support Freeman's (1994) argument that 'the separation thesis' — the assumption that the moral and financial consequences of managerial action can be clearly separated — is simplistic and does not always hold true.

Concerning the perception of a firm's RCSP among different stakeholder groups, the findings of this study indicate support for what has been labelled 'the stakeholder specificity hypothesis' (Zyglidopoulos 2001; Zyglidopoulos and Phillips 1999). According to this hypothesis, the reputation of a firm will not only differ between different stakeholder groups, but particular events will also have a different impact on the perceptions of the firm's reputation between different stakeholder groups. In this case, our findings indicate that downsizing events are perceived differently by industry executives and investment analysts, and, as it has been argued before, given the cognitive proximity of these two groups, it is reasonable to expect greater deviations between stakeholder groups which are further apart with respect to their assumptions, beliefs and interests (Zyglidopoulos 2001).

Moreover, within the downsizing literature, our findings highlight the importance of corporate reputation — in this case RCSP — in evaluating the long-term implications

14791854, 2004, 1, Downloaded from https://onlinelibrary.wiley.com/doi/10.1002/pa.168 by Iowa State University Library, Wiley Online Library on [18/01/2025]. See the Terms and Conditions (https://onlinelibrary.wiley.com/terms-and-conditions) on Wiley Online Library for rules of use; OA articles are governed by the applicable Creative Commons License

1479-1854, 2004, 1, Downloaded from https://onlinelibrary.wiley.com/doi/10.1002/pa.168 by Iowa State University Library, Wiley Online Library on [18/01/2025]. See the Terms and Conditions (https://onlinelibrary.wiley.com/terms-and-conditions) on Wiley Online Library for rules of use; OA articles are governed by the applicable Creative Commons License

of downsizing decisions. For example, given the findings from this study, combined with the results of Turban and Greening (1997), it is quite possible that companies that want to rehire qualified employees after a downsizing cycle will find it harder to do so because of the damage that downsizing has had on the firm's RCSP. In addition, the findings of this study highlight the different ways that the same managerial action — downsizing in this case — can be perceived differently by various stakeholder groups.

Limitations and implications

Despite its contribution to the understanding of the impact of downsizing activities on the firm's RCSP, this study has at least two major limitations. First, it is limited by the fact that the AMAC survey deals with larger, well-established firms, and only monitors the reputation of firms among industry executives and investment analysts. Therefore, further research needs to address the issues raised by the hypotheses proposed here, by investigating the impact of downsizing activities on the notions of reputation held by a more diverse selection of stakeholders, and by investigating the matter on a more diverse population of firms. Secondly, another limitation of this study is that, given its methodology, it does not examine in depth any instances of downsizing, and thus it might be missing out on numerous ways through which downsizing activities might have an impact on the perception of the firm's RCSP with particular stakeholder groups. In other words, this kind of study into the impact of downsizing activities on the firm's RCSP needs to be supplemented by qualitative studies that could plausibly come closer to revealing the richness of the possible interactions that link downsizing activities with a firm's reputation.

Concerning the management of public affairs, this study also highlights the fact that public affairs managers have to deal with the public implications of managerial actions which are damaging for the firm's image, but are often out of their control or influence. Therefore, the public affairs function, one could argue, should quite often start within the firm boundaries, by trying to point out to the appropriate line managers the long-term effects that different actions might have on the firm's reputation.

CONCLUSION

The purpose of this study was to investigate the impact of downsizing on a firm's RCSP. After drawing on a number of relevant literature streams (downsizing, corporate reputation and social responsibility), a number of hypotheses concerning the impact of downsizing on the firm's RCSP were developed and tested, with the main findings from this study summed up as follows. First, it was found that downsizing has a negative impact on the firm's RCSP. Secondly, when one takes into consideration the type of managerial action that was behind the downsizing of a particular firm (layoffs and/or divestitures), the impact from downsizing activities differs between the two stakeholder groups investigated here: industry executives and financial analysts. Finally, it was found that higher financial performance prior to downsizing leads to a greater negative impact on the firm's RCSP.

NOTE

(1) For example, Weinberger and Romeo (1989) found that negative media attention has a negative impact on corporate reputation, and Fombrun and Shanley (1990) found that any kind of increase in (negative, positive, mixed or neutral) media attention has a negative impact on corporate reputation. Moreover, even though Wartick (1992: 43) found no statistically significant association between changes in corporate reputation and changes in the amount of media attention, he found that the tone of media attention was 'a key factor associated with both the direction of the change in corporate reputation and the total movement of the change'.

14791854, 2004, 1, Downloaded from https://onlinelibrary.wiley.com/doi/10.1002/pa.168 by Iowa State University Library, Wiley Online Library on [18/01/2025]. See the Terms and Conditions (https://onlinelibrary.wiley.com/terms-and-conditions) on Wiley Online Library for rules of use; OA articles are governed by the applicable Creative Commons License

REFERENCES

Barney, J. B. (1991) 'Firm resources and sustained competitive advantage', *Journal of Management*, 17(1): 99–120.

Brown, B. and Perry, S. (1995) 'Halo-removed residuals of fortune's responsibility to the community and environment: A decade of data', *Business & Society*, 34(2): 199–215.

Bruton, G. D, Keels, J. K. and Shook, C. L. (1996) 'Downsizing the firm: Answering the strategic questions', *Academy of Management Executive*, 10(2): 38–45.

Cameron, K. (1996) 'Downsizing' in Warner, M. (ed.), *International Encyclopedia of Business and Management*, 1051–1056. London: Routledge.

Cappelli, P., Bassi, L., Katz, H. *et al.* (1997) *Change at Work*. New York: Oxford University Press.

Carroll, A. B. (1979) 'A three-dimensional conceptual model of corporate social performance', *Academy of Management Review*, 4(4): 497–505.

Carter, S. and Dukerich, J. M. (1998) 'Corporate responses to changes in reputation', *Corporate Reputation Review*, 1(3): 250–70.

Cascio, W. F., Young, C. E. and Morris, J. R. (1997) 'Financial consequences of employment-change decisions in major US corporations', *Academy of Management Journal*, 40(5): 1175–89.

De Mause, K. P., Bergmann, T. J. and Vanderheiden, P. A. (1997) 'Corporate downsizing: Separating myth from fact', *Journal of Management Inquiry*, 6(2): 168–76.

Dierickx, I. and Cool, K. (1989) 'Asset stock accumulation and sustainability of competitive advantage', *Management Science*, 35(12): 1504–1510.

Donaldson, T. and Dunfee, T. W. (1994) 'Toward a unified conception of business ethics: Integrative', *Academy of Management Review*, 19(2): 252–285.

Fiol, C. M. and Kovoor-Misra, S. (1997) 'Two-way mirroring: Identity and reputation when things go wrong', *Corporate Reputation Review*, 1 (1/2): 147–51.

Fombrun, C. J. (1996) *Reputation*. Boston, MA: Harvard Business School Press.

Fombrun, C. and Shanley, M. (1990) 'What's in a name? Reputation building and corporate strategy', *Academy of Management Journal*, 33(2): 233–58.

Freeman, R. E. (1994) 'Stakeholder thinking: The state of the art'. in Näsi, J. (ed.), *Understanding Stakeholder Thinking*, 35–46. Helsinki: LSR-Publications.

Freeman, S. J. and Cameron, K. S. (1993). 'Organizational downsizing: A convergence and reorientation framework', *Organization Science*, 4(1): 10–30.

Fryxel, G. E. and Wang, J. (1994) 'The Fortune Corporation Index: Reputation for what?'' *Journal of Management*, 20(1): 1–14.

Greening, D. W. and Turban, D. B. (2000) 'Corporate social performance as a competitive advantage in attracting a quality workforce', *Business & Society*, 39(3): 254–81.

Hall, R. (1992) 'The strategic analysis of intangible resources', *Strategic Management Journal*, 13: 135–44.

Hall, R. (1993) 'A framework linking intangible resources and capabilities to sustainable competitive advantage', *Strategic Management Journal*, 14(8): 607–18.

Hoskisson, R. E., Johnson, R. A. and Moesel, D. D. (1994) 'Corporate divestiture intensity in restructuring firms: Effects of governance, strategy, and performance', *Academy of Management Journal*, 37(5): 1207–51.

Hoskisson, R. E. and Hitt, M. A. (1994) *Downscoping: How To Tame the Diversified Firm*. New York: Oxford University Press.

Kim, W., Hwang, P. and Burgers, W. (1989) 'Global diversification strategy and corporate profit performance', *Strategic Management Journal*, 10(1): 45–57.

Lamertz, K. and Baum, J. A. C. (1998) 'The legitimacy of organizational downsizing in Canada: An analysis of explanatory media accounts', *Canadian Journal of Administrative Sciences*, 15(1): 93–108.

McGuire, J. B., Schneeweis, T. and Banch, B. (1990) 'Perceptions of firm quality: A cause or result of firm performance', *Journal of Management*, 16(1): 167–80.

McKinley, W., Zhao, J. and Rust, K. G. (2000) 'A sociocognitive interpretation of organizational downsizing', *Academy of Management Review*, 25(1): 227–43.

McMillan, S. G. and Maheshkumar, P. J. (1997)

'Sustainable competitive advantage and firm performance: The role of intangible resources', *Corporate Reputation Review*, 1(3): 81–5.

Naik, G. (1998) 'Telecom deregulation in Britain delivered a nice surprise: Jobs', *Wall Street Journal*, 5 March: A1, A8.

New York Times (1996) 'The downsizing of America', March 3–9.

Orlitzky, M., Schmidt, F. L. and Rynes, S. L. (2003) 'Corporate social and financial performance: A meta-analysis', *Organization Studies*, 24(3): 403–32.

Roberts, P. E. and Dowling, G. R. (1997) 'The value of a firm's corporate reputation: How reputation helps attain and sustain superior performance', *Corporate Reputation Review*, 1 (1/2): 72–76.

Rousseau, D. M. (1995) *Psychological Contracts in Organizations: Understanding Written and Unwritten Agreements*. Thousand Oaks, CA: Sage Publications.

Sloan, A. and Underwood, A. (1996) 'The hit men', *Newsweek*, 127(9): 44–9.

Szwajkowski, E. and Figlewicz, R. E. (1997) 'Of babies and bathwater: An extension of the Business & Society Research Forum on the *Fortune* Reputation Database', *Business & Society*, 36(4): 362–86.

Szwajkowski, E. and Figlewicz R. E. (1999) 'Evaluating corporate performance: A comparison of The *Fortune* Reputation Survey and The Socrates Social Ranking Database', *Journal of Managerial Issues*, XI(2): 137–54.

The Economist (1996) 'The revolving door', 26 October: 79–80.

Turban, D. B. and Greening, W. D. (1997) 'Corporate social performance and organizational attractiveness to perspective employees', *Academy of Management Journal*, 40(3): 658–73.

Uchitelle, L. and Kleinfeld, N. R. (1996) 'On the battlefield of business, millions of casualties', *New York Times*, 3 March: 1, 14–16.

Van Buren III, H. J. (2000) 'The bindingness of social and psychological contracts: towards a theory of social responsibility in downsizing', *Journal of Business Ethics*, 25(3): 205–19.

Wartick, S. L. (1992) 'The relationship between intense media exposure and change in corporate reputation', *Business and Society*, 31(1): 33–50.

Weinberger, M. G. and Romeo, J. B. (1989) 'The impact of negative product news', *Business Horizons*, 32(1): 44–51.

Wood, D. J. (1991) 'Corporate social performance revisited', *Academy of Management Review*, 16(4): 691–718.

Wood, D. J. (1995) 'The Fortune Database as a CSP measure', *Business & Society*, 34(2): 197–8.

Worrell, D. L., Davidson, W. N. and Sharma, V. M. (1991) 'Layoff announcements and stockholder wealth', *Academy of Management Journal*, 34: 662–678.

Zyglidopoulos, C. S. (2001) 'The reputational impact of accidents', *Business & Society*, 40(4): 416–41.

Zyglidopoulos, S. and Phillips, N. (1999) 'Responding to reputational crises: A stakeholder perspective', *Corporate Reputation Review*, 2(4): 333–50.

14678854, 2004, 1, Downloaded from https://onlinelibrary.wiley.com/doi/10.1002/pa.168 by Iowa State University Library, Wiley Online Library on [18/01/2025]. See the Terms and Conditions (https://onlinelibrary.wiley.com/terms-and-conditions) on Wiley Online Library for rules of use; OA articles are governed by the applicable Creative Commons License